**Keel3**
STRATEGIC INTELLIGENCE
*Heads Down to Heads Up*

WEEKLY INTELLIGENCE BRIEF

# Happenings in AI Last Week

PREPARED FOR
**Luna Diabetes**
WEEK OF
**June 1-7, 2026**

| ANNOUNCEMENTS | WHAT IT MEANS | WHAT IT MEANS FOR: LUNA DIABETES |
|---|---|---|
| **1 Illinois Passes First State Law Requiring Independent Audits of Frontier AI Labs**<br>**Source:** *Illinois House, via Transparency Coalition, Axios · 2026-05-30*<br>The Illinois House passed the AI Safety Measures Act by a vote of 110 to 0. If signed, it would be the first US law to mandate annual third-party audits of frontier AI labs, requiring independent safety audits, incident reporting,... | For a pre-FDA-submission medtech company building an AI-powered closed-loop insulin delivery device, the Illinois framework previews the regulatory expectation that will arrive at the federal level: independently auditable safety frameworks,...<br>**Like:** *It is like the first state to require restaurants to post health-inspection grades in the window.* | **REGULATORY STRATEGY**<br>Luna's closed-loop insulin delivery device will face FDA scrutiny of its AI component — and Illinois just wrote the template a federal reviewer will recognize. |
| **2 Sapient Releases HRM-Text, a 1B Brain-Inspired Reasoning Model Trained on 1000x Fewer Tokens**<br>**Source:** *Sapient Intelligence and arXiv · 2026-05-18*<br>Sapient Intelligence published HRM-Text, an open-weights 1-billion-parameter foundation model that performs reasoning in continuous latent space rather than via visible chain-of-thought tokens. Trained on roughly 40 billion tokens, 0.6 GiB, fits on a modern smartphone. | For a medtech company building a closed-loop device, a reasoning-capable 1B-parameter model that runs entirely on-device — on a smartphone form factor — is a potential architecture for the device's...<br>**Like:** *Instead of building a bigger library and reading every book before answering, the model learns to think through the problem...* | **DEVICE ARCHITECTURE**<br>Luna's closed-loop insulin delivery device needs an AI control algorithm that can reason about dosing decisions with low latency, high reliability, and no dependency on a cloud connection. |
| **3 Anthropic Moves Claude Agents Inside the Customer Perimeter With Self-Hosted Sandboxes and Private MCP Tunnels**<br>**Source:** *Anthropic, Code with Claude London · 2026-05-19*<br>At its London developer conference, Anthropic released self-hosted sandboxes in public beta and MCP tunnels in research preview. Self-hosted sandboxes let the tool-execution layer of an agent run on infrastructure controlled by the customer. | For a small medtech engineering team, self-hosted sandboxes change the AI-tooling calculus: the team can use AI agents for development, testing, documentation, and regulatory-writing workflows while keeping proprietary device designs,...<br>**Like:** *It is the difference between letting a contractor take your files back to their office and letting them sit in...* | **ENGINEERING LEVERAGE**<br>Luna's small engineering team faces the classic lean-medtech constraint: the workload of documentation, testing, and regulatory writing expands as the submission date approaches, but the team doesn't. |
| **4 DeepSeek Makes Its 75 Percent Price Cut Permanent, Escalating the AI Price War**<br>**Source:** *Reuters · 2026-05-23*<br>Chinese AI developer DeepSeek announced it will permanently keep a 75 percent price cut on its flagship V4-Pro model. The change drops V4-Pro pricing to roughly a quarter of its original level, with output token costs cited at around $0. | For a pre-revenue medtech company, the cost of AI capability is falling fast and permanently — which changes the economics of building an AI-native device company.<br>**Like:** *It is like a new airline permanently pricing every seat at a quarter of the going rate.* | **R&D ECONOMICS**<br>Luna's path to FDA submission involves processing large volumes of clinical literature, regulatory guidance, and safety data — workloads that were previously constrained by both engineering time and AI tooling cost. |

**THE WEEK IN ONE LINE**
The FDA's AI-medical-device posture is hardening around auditability and cybersecurity, the engineering toolchain for building safe connected devices is advancing on multiple fronts simultaneously, and AI capability is being priced as a durable investor asset — all of which rewards a lean team that can integrate each of these signals into a pre-submission credibility story.